

CORZ pitch deck

PITCH — CORZ — VERDICT

PROPOSED — PENDING ADJUDICATION — No purchase. Stay flat at \$17.48; the growth everyone is underwriting earns a return at or below the cost of the debt required to build it, so re-open only on the four dated triggers below.

What we believe

Core Scientific is no longer a bitcoin miner. It is a landlord that rents electrified, cooled buildings to AI companies on long contracts. That business is real, it is contracted, and it is growing. Our disagreement is not with whether the buildings get built. It is with what the buildings earn.

Three things we believe, in order of how much weight they carry:

1. The company effectively has one customer. The June 30, 2026 quarterly report says 83% of *total* revenue came from a single customer in the colocation segment (CoreWeave), versus 13% a year earlier. But total revenue includes a shrinking bitcoin self-mining stub. Restate it against the business that actually continues: $83\% \times \$164.2\text{M total revenue} = \136.3M , against colocation segment revenue of \$136.7M. That is **99.7% of the continuing business from one tenant**. And because the mining stub is being wound down, the *disclosed* 83% will keep climbing toward 100% even if nothing operationally goes wrong. Source: [10-Q, period ended 6/30/2026](#).

2. The famous AMD contract is a thin-spread deal, not a windfall. Management guides roughly \$11–12 million of capital spending per megawatt. The AMD agreement is about 530 MW, so roughly **\$6 billion of construction**. The contract is more than \$14 billion of base revenue over 15 years with 2.5% annual escalators, which works out to about **\$781 million in the first full year** — a 13.0% revenue return on the money spent. After operating costs, at a 50–70% margin, the *profit* return on that construction is **6.5%–9.1%**. The company's own senior secured notes carry a **7.75% coupon**. You are borrowing at 7.75% to buy a 6.5–9.1% asset.

3. Therefore the growth barely adds equity value, even if the financing appears by magic. We ran that test explicitly — assume the \$6 billion shows up tomorrow at 7% project-level debt:

Operating margin	Annual profit	Interest at 7%	Left for shareholders	Value at 15×	Added to today's ~\$7.5B equity
50%	\$391M	\$420M	–\$29M	—	–0.4%
60%	\$469M	\$420M	\$49M	\$0.7B	+10%
70%	\$547M	\$420M	\$127M	\$1.9B	+25%

Operating margin	Annual profit	Interest at 7%	Left for shareholders	Value at 15×	Added to today's ~\$7.5B equity
100% (impossible)	\$781M	\$420M	\$361M	\$5.4B	+72%

You need roughly an **86% operating margin** for this build to be worth +50% to the stock. Nobody runs an 86% margin data center. Financing was never the binding constraint on the upside — the spread was.

4. And you pay a growth price for it. Corrected fully diluted share count is **466.1 million** (321.3M shares outstanding, 96.4M warrants at \$6.81, 6.6M warrants at \$0.01, 41.8M shares from convertible notes that are deep in-the-money at \$11.00, 27.8M from the \$22.49 converts). Enterprise value is roughly **\$10.05 billion** excluding \$781.7M of restricted cash, or **\$9.27 billion** including it. Against a stabilized, fully-leased profit estimate of about \$413 million, that is **~24× earnings before interest, taxes, depreciation and amortization** — for a single-tenant, bond-like return.

Net: a levered landlord with one tenant, priced as an artificial-intelligence growth equity. Pass.

What the market believes

The market believes this is early. Seventeen analysts cover it: **13 Strong Buy, 3 Buy, 1 Hold**. Average price target **\$37.13** (range \$28–\$55), which is +112% from \$17.48. Revenue consensus is **\$671.6M for 2026** and **\$1.15B for 2027**.

That price target implies about **\$17.3 billion of equity plus \$2.55 billion of net debt = ~\$19.8 billion enterprise value, or 17.2× 2027 revenue**.

Here is the specific mechanism of the disagreement, and it is not “they are too optimistic on revenue.” We rebuilt the street’s 2027 revenue line ourselves — 590 MW leased × roughly \$1.45M per MW per year ≈ \$855M, plus a partial year of AMD, plus the mining stub, gets you to \$1.0–1.1 billion. **The street’s revenue forecast is reconstructable and reasonable. We do not disagree with it.** What the street is doing is capitalizing contracted revenue at a revenue multiple **without charging for the \$6 billion of project debt required to earn that revenue**. That is the gap.

Why we might have edge

- **The concentration restatement.** The disclosed number is 83% of total. The number that matters is ~100% of the continuing segment, and the disclosed number rises mechanically as mining winds down — which will read like deterioration when it is arithmetic. We have not seen that restatement anywhere in published research.
- **The spread test.** Both of our own benches argued for pages about whether the \$6 billion could be *raised* before anyone asked what the \$6 billion *earns*. Once you ask, the answer is decisive and

it is available entirely from management's own guidance plus the contract terms. This is the load-bearing finding and we believe it is genuinely underweighted.

- **The corrected capital structure.** The widely-circulated share count is wrong. Our own initial brief had it wrong too (see below). Two convertible notes totaling \$1.085 billion — 69.6 million shares — are routinely omitted, and one of them is deep in-the-money.

Why it might be priced in

We are obliged to argue against ourselves here, and it is a real argument.

- **The 83% is printed on the face of a quarterly report covered by 17 analysts.** We cannot claim as proprietary a number that is one sentence in a public filing. We can only claim the restatement is proprietary, and that is an inference we cannot prove — we cannot cite the absence of someone else having done it.
- **The rejected CoreWeave takeover** (shareholders voted down a \$9 billion all-stock bid on [October 30, 2025](#)) is arguably the single most-covered fact about this company in the past year. Our red bench initially tagged it as a novel finding. That was wrong.
- **The stock has already fallen 43% from its 52-week high**, and it fell in near-lockstep with CoreWeave (−53%). That is the sector re-rating, not a name-specific mispricing waiting to be found. On the tape it is mid-range, not distressed: \$17.48 against a \$13.135–\$30.46 band, **+33% off the low**. There is no dislocation to buy.
- **We have no revenue-forecast edge in either direction.** Our number sits inside consensus. Our entire disagreement is about the multiple applied to it — an opinion, not a fact. Opinions do not get graded.
- **The company has repeatedly bought power interconnections for cash rather than waiting in the utility queue.** That execution pattern could compress the \$11–12M/MW cost below guidance and rescue the spread. If capex comes in at \$8M/MW, most of this deck is wrong.

What could go wrong

The pre-mortem below is written for the position we would actually take — nothing today, and a starter only if the re-open triggers fire. The three failure narratives are the three ways we end up poorer.

Failure 1 — We buy the funding headline instead of the spread (monitorable). A project bond prints at the AMD sites. Our own re-open trigger fires. We buy at \$22–26 into a re-rating, and then the capex per megawatt drifts from \$11M to \$14M on transformer and turbine lead times, so the return on cost falls back below the coupon we just celebrated. We were right about the economics and bought anyway because a trigger we wrote told us to. *Tripwire exists: the bond pricing 8-K, and the capex-per-MW figure on the next two earnings calls.*

Failure 2 — The one tenant weakens (partly monitorable). CoreWeave is essentially the entire continuing revenue line. It is itself a capital-hungry, negative-free-cash-flow company down 53%. A funding stall, a renegotiation, or a slowed take-down does not dent CORZ's revenue — it removes it. And

the tenant is a **rejected acquirer**: a counterparty that tried to buy the landlord and was turned down has demonstrably shown it would rather own than rent, which makes renewal and expansion terms adverse rather than neutral. *Tripwire is partial: we can watch CoreWeave's own filings and bond spreads, but we cannot see the lease-level take-down schedule, which is the thing that actually matters.*

Failure 3 — The megawatts are not what we were told (NO MONITORABLE TRIPWIRE).

Everything above is downstream of one number: how much power is actually contracted, energized and billable. We have no independent way to check it. Three separate holes stack:

- The marketed “1.1 gigawatts” reconciles to 590 MW leased and **395 MW actually billing** in the filing. That gap is a legitimate basis difference (signed-including-undelivered versus in-service at the balance sheet date), not concealment — but it means the headline number is not a verified operating fact.
- The **\$444 million Polaris DS acquisition** that closed August 13, 2026 was disclosed under Items 7.01 and 8.01 of an [8-K](#) — **not** under Item 2.01 with audited target financial statements. The acquired “~440 MW already in service under existing utility agreements” therefore has **no audited support anywhere**. \$444 million of cash went out the door against numbers no outside investor can inspect.
- The sites are in Reeves County and Hunt County Texas, Muskogee County Oklahoma, Auburn Alabama, and Dalton Georgia. **We have no data connector covering any of them**, and none covering the ERCOT large-load or SPP generator-interconnection queues, which are where a real megawatt claim would be independently confirmable.

Unknown-unknown class: the un-instrumented physical-asset claim. This is the family of risks where the single most load-bearing operating metric in the entire thesis exists only on a plane we cannot observe, and where the acquired assets carrying that metric were bought without audited financials. We would not learn we were wrong from a filing, a price, or a sensor. We would learn it from the company, after the fact, in a disclosure written by the party with the most to lose from writing it. There is no version of this deck that closes that hole; only a new connector build would.

The reflexive and structural leg. Three things here, and one of them is a live gap:

- **Our size versus daily volume: unknown.** Broker market-data access was denied in the session that produced this work, so we have **no live tick, no short interest, and no 90-day average daily volume**. Any sizing statement below is therefore unbacked on the liquidity side. That is a gap, not a footnote.
- **We would be bidding into flow we ourselves predict.** There are 96.4 million warrants at \$6.81 — **30% of shares outstanding**, deep in-the-money, held largely by post-bankruptcy claim holders with no long-horizon mandate — plus 41.8 million in-the-money convertible shares, none of it under any lock-up. Every rally is a mechanically-exercisable supply event. Buying strength here means buying into our own forecast of selling. Our house rule against bidding into predicted flow points at exactly this. (Honest caveat: we called this a “permanent mechanical seller” and we have **no** holder-composition or exercise-flow evidence for that. A July 28 filing of

unregistered share sales suggests exercises may already be flowing through and partly retiring the overhang.)

- **Doctrine interactions.** (a) Our default rule that a clean court with no named objection owes at least a token position does **not** apply here — the objection is named, dated and arithmetic: contracted growth at a return on cost inside the cost of the debt that funds it. (b) The rule that we do not kill a name merely because we agree with the consensus also does not save it — we checked, and our own forecast is inside consensus, so there is no forecast divergence to defend. (c) Because CORZ trades in lockstep with CoreWeave, any position here is a second helping of the same AI-infrastructure exposure the book already carries elsewhere; it would size as a sector bet even if we intended it as a name bet. (d) GAAP earnings on this issuer are meaningless — the second-quarter net loss of \$1,155.3 million includes \$1,045.5 million of non-cash warrant revaluation caused by **the stock going up**. Any earnings-versus-consensus trigger we write against this name would be noise.

If this position loses money, the most likely reason will be that we bought the financing headline instead of the spread — a project bond printed at a coupon that looked like vindication, we entered on our own trigger at a much higher price, and the underlying business was still a single-tenant landlord earning a return on cost inside its cost of capital, with megawatt claims we never had any independent way to verify.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Customer concentration is 67% of revenue” (our own initial brief, sourced to a press summary of the Q1 call)	Pulled the 6/30/2026 10-Q concentration note directly	“83% and 13%, respectively, of the Company’s total revenue was generated from one customer in the Colocation segment” for the quarter; 77%/12% for six months	NO — our brief was 16 points wrong, off a stale secondary source
“83% of total revenue” is the right measure of dependence (red bench)	Divided top-customer revenue by the <i>continuing</i> segment: $83\% \times \$164.2\text{M} = \136.3M vs colocation revenue \$136.7M	~99.7% of the go-forward business. Red understated its own strongest finding	NO — corrected upward by our second bench
The 83% figure is a novel, non-consensus finding (red bench)	Judged against the fact that it is a cover-level note in a filing 17 analysts cover	Not novel. Presumed known. We flagged this honestly rather than claim credit	NO — our bench over-claimed
“Financing is already secured; the funding objection is refuted” (our own initial brief)	10-Q cash flow and commitments	Operating cash flow +\$230.9M against property purchases −\$954.2M = − \$723M free cash flow in the first half; \$444M then paid for Polaris; ~\$1.0B of disclosed future commitments; ~\$1.33B unrestricted cash left. The 2027 build is not funded	NO — the brief’s central refutation inverted on primary data

Claim	How checked	Found	Confirmed?
“The 2027 build is unfunded, and that is fatal” (red bench)	Management’s Q2 call	Guided \$11–12M/MW, ~\$6B total, “ <i>financed primarily through project-level bonds.</i> ” A named plan with an investment-grade counterparty is not “no plan”	PARTLY — the gap is real; “fatal” was too strong. Downgraded to a sizing and timing issue
“Interest is ~\$270M/year vs \$164M annualized profit = 0.61× covered” (red bench)	Recomputed from the debt note: \$3.3B @ 7.75% + \$460M @ 3.00% + \$625M @ 0.00%	Arithmetic correct (\$269.6M). But annualizing a quarter in which billing megawatts were ramping from 395 to 437 is a base-effect distortion. At full 590 MW billing, profit is ~\$413M and coverage is ~1.5×	PARTLY — number right, framing wrong
“Interest looks low because it is being capitalized into construction” (red bench)	10-Q capitalized-interest disclosure	Capitalized interest in the first half was only \$12.050M . The real reason is that the notes were issued May 6, 2026 — about 55 days inside the quarter	NO — right conclusion, wrong mechanism
Fully diluted share count and enterprise value	Rebuilt from the 10-Q cover, equity note and debt note, then independently re-read by a second bench	321,340,441 shares; 96.4M warrants at \$6.81; 6.6M at \$0.01; 41.8M convert shares at ~\$11.00; 27.8M at \$22.49 → 466.1M fully diluted, EV ≈ \$10.05B (or \$9.27B including restricted cash). Our original brief said “81.9M + 93.4M → 512M shares, \$11.2B EV” — wrong on composition and it omitted both convertible notes	Corrected figures CONFIRMED verbatim by both benches. Our brief was wrong. Note: this correction <i>lowers</i> enterprise value by \$1.15B — it is bull-favorable, and our red bench filed it as a bear point. That was sloppy.
“61× profit — a valuation kill”	Applied the same ramp correction as above	The honest multiple is ~24× stabilized profit, not 61×	PARTLY — still expensive, but the number was inflated
“We disagree with the street, therefore edge”	Built the street’s 2027 revenue line ourselves rather than counting analyst ratings	Street revenue is reconstructable and reasonable. We have no revenue edge. The divergence is a multiple opinion. Counting “13 Strong Buys” is not analysis	NO — our bench substituted a rating tally for the work
“The stock is distressed / dislocated”	Tape check	–42.6% from the high but +33.1% off the low , mid-range, moving in lockstep with CoreWeave (–53%). Sector re-rating, not name-specific dispersion. As a cross-check, the 6/30 warrant liability of \$1,811.6M + \$163.7M against 103M warrants implies roughly a \$26 stock at quarter-end	CONFIRMED — no dislocation
“1.1 GW / >\$24B contracted” (carried from marketing into our brief unvetted)	10-Q operating data vs the July 28 press release	Filing says ~590 MW leased, 395 MW billing. 590 + 530 (AMD) = 1,120 MW ≈ the marketed 1.1 GW. Legitimate basis difference, not concealment — but our brief repeated a marketing figure as if we had checked it	Reconciled. Our process error, not the company’s.
Does the growth actually create equity value?	Built the magic-funding table above from	Adds –0.4% to +25%; needs an ~86% operating margin to add +50%. Neither	The decisive finding, and we found it last

Claim	How checked	Found	Confirmed?
	management capex guidance and contract terms	bench had asked this question before being forced to	
Detector/coverage audit	Ran the full dispatch list against both benches' filings	Our red bench omitted four dispatched checks and invented five that were never dispatched. Two of the dispatched checks matched on stale company tags (private-equity sponsor control; up-C tax receivable structure) that do not apply to this issuer — a tagging error to fix upstream	NO — process failure, corrected
Live price, short interest, average daily volume	Attempted broker market-data pull	Denied in this session. Both benches worked without it	NO — open gap

PROPOSED ENTRY BANDS

There is no entry. No position is held and no orders exist. Both benches independently concluded flat, each at 8/10 conviction. These are the re-open bands instead.

Re-open trigger 1 — cheap project debt (the one that actually inverts the thesis). Condition: project-level bonds price at the AMD sites at a coupon **at or inside ~5.50%**. Why this level: the entire objection is a 6.5–9.1% return on cost against a 7.75% cost of debt. At 5.5%, the spread turns positive and the build creates value instead of consuming it. Note the correction here — our red bench proposed “any 2027 funding event” as the trigger. That is wrong. An expensive financing confirms the bear case; only a **cheap** one refutes it. Action if it fires: re-court immediately, then a **0.25% starter** on the first close after the pricing 8-K, with a deliberate refusal to chase — no purchase more than 8% above the pre-announcement close, because that is exactly the “bought the headline” failure above.

Re-open trigger 2 — construction cost comes in cheap. Condition: capital cost guided **below ~\$9.0M per megawatt** on an earnings call or in a filing. Why: at \$9M/MW the AMD build is ~\$4.8B rather than \$6B, and the return on cost rises to roughly 8.7–12.2%, above the 7.75% coupon. This is the live possibility — the company has bought interconnects for cash rather than queuing, which is precisely the behavior that compresses cost per megawatt.

Re-open trigger 3 — the concentration actually breaks. Condition: a quarterly report showing top-customer share of **total** revenue below ~65% **with a second named tenant actually billing** — not signed, billing. Alternatively, billing megawatts crossing ~700 with colocation gross margin holding at or above 43%, which would put annualized profit above the ~\$270M interest run-rate. Note: this cannot happen inside the next three reports. AMD's first delivery is in the first half of 2027. Until then the disclosed concentration goes **up**, not down.

Re-open trigger 4 — price. Condition: **below \$11.00**. Why this exact level: \$11.00 is the conversion price of the 2029 convertible notes. Below it, 41.8 million shares fall out of the diluted count and \$460M reverts to being debt rather than equity; enterprise value against 2027 revenue drops to roughly **6×**, which is a different security. That is a **–37% move from \$17.48** and would almost certainly arrive as

sector-wide stress rather than a company-specific event — so it is a re-court trigger, not an automatic buy. Secondary watch level: **\$13.135**, the 52-week low. A break there is a cohort-stress signal and should pull the court forward regardless of whether \$11.00 prints.

Sizing if any trigger fires: 0.25% of book maximum on the first tranche, and this is explicitly **unbacked on liquidity** — we have no average daily volume figure, so the standard “never more than 1% of daily volume” discipline cannot currently be applied. Restore market data before any order is written.

Catalyst dates: - **2026-10-23** — third-quarter results. **UNCONFIRMED.** This date is aggregator-derived. The company does issue a scheduling press release (it did for Q1), and no such release exists as of August 24, 2026. Roughly 40 trading days out — not close enough to require a print-specific plan. - **~2026-11-06** — third-quarter 10-Q. This is the document that tests the concentration restatement, billing megawatts, and any updated capex-per-MW figure. - **First half of 2027** — first AMD megawatt delivery. Nothing about the concentration problem can improve before this. - **Undated, highest-value** — the AMD project bond pricing. This is the single most informative event available and it has no scheduled date.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 13.135 (deck-provisional: 52-week low break; signals cohort-wide AI-infrastructure stress rather than name news — pull the court)
- filing watch: 8-K until 2027-02-21 (deck-provisional: project-level bond pricing at the AMD sites — a coupon at or inside 5.50% inverts the thesis and re-op)
- dated pack CORZ|2026-10-23: CORZ: Q3 2026 results — aggregator-derived, no company scheduling release exists as of 2026-08-24 (date confirmed=False)
- dated pack CORZ|2026-11-06: CORZ: Q3 10-Q — tests the concentration restatement, billing megawatts, and capex per megawatt (date confirmed=False)
- dated pack CORZ|2027-06-30: CORZ: first AMD megawatt delivery (guided first half 2027); concentration cannot improve before this (date confirmed=False)

What remains unverified

Stated plainly, because several of these carry real weight:

1. **The operating margin on the AMD contract.** The 50–70% bracket is our estimate. Management has not disclosed it. The entire prize table swings on this number, and at 50% the deal adds *negative* equity value.
2. **The 7% project-bond coupon** used in the prize table is our estimate, not a printed price. This is the largest single source of doubt in the bear case, and it is why conviction is 8/10 and not 10/10.

3. **The Polaris DS acquisition economics.** \$444 million spent on August 13, 2026 for roughly 440 MW claimed to be “already in service” under existing utility agreements — disclosed with **no audited target financial statements**. Nobody outside the company can check it.
 4. **Whether the warrant overhang is being retired.** A July 28, 2026 filing of unregistered share sales suggests exercises are flowing. We did not open it. This directly affects whether the “permanent supply shelf” characterization is fair; as written, it is plausible but unevicenced.
 5. **Whether anyone else has done the segment restatement or the spread test.** We believe not. We cannot prove absence, so we are not claiming it as established.
 6. **All live market microstructure** — current tick, short interest, average daily volume, borrow. Broker data access was denied. No order should be sized without it.
 7. **The environmental exposure at the gas-generation sites.** Behind-the-meter gas generation is contemplated at Pecos; a satellite emissions check is genuinely applicable to a multi-hundred-megawatt power consumer making environmental claims. It was not run. This is a coverage gap, not a clean result.
 8. **The October 23 print date**, which no company release confirms.
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